

30 May 2026 · Session 45CCB05B

THE DECISION

I have a corpus of mutual fund of INR 54 lakh - I have been approached by Dezerv to handle my mutual funds as a PMS account where I will need to transfer them funds (it won't attract a tax event since they will be transferring it & as per Indian rules, it doesn't become taxable). As part of the review of my portfolio, they did generate some valuable insights like I have too many funds (55+) & I have overlaps which is why a fund may be pulling down overall segment average even if I have correct allocation between large, small & mid cap. As per latest discussion with them, I can exit any time I want & it won't attract a tax event so the reversibility cost is low. I have an XIRR of 11.5% while they have historically claim to provide 14%+ XIRR. I believe this higher alpha plus the fact that I will not need to actively manage my funds each quarter pushes me strongly to consider them for a year & see where it goes from there. Help me decide if I should continue managing my own portfolio or transfer to Dezerv.

CONTEXT

Additional note - they charge as per returns - in a quarter, if they generate return on my portfolio, they take 1% out of it; in a quarter where they don't, they take zero fees.

DECISION BRIEF

Prepared by Quorum Council · Confidential

KEY INSIGHTS

- Your current 11.5% XIRR is a real, achieved return through volatile markets; Dezerv's 14% claim is historical, likely gross of fees, and not guaranteed forward.
- The 1% quarterly fee on gains (zero on losses) creates an asymmetric drag: in a 15% up year, you net ~11% after fees--below your current return.
- Portfolio overlap (55+ funds) is a genuine problem, but one you can fix yourself in a weekend with a spreadsheet.
- Exit without tax cost is real, but fees paid are gone; the habit of active oversight, once outsourced, is harder to reclaim.

RISKS

- Fee structure compounds against you -- in volatile markets, you pay on up-quarters, absorb full losses, and the net advantage over self-management likely vanishes.
- Behavioral erosion -- delegating now may make it harder to re-engage later, reducing your financial self-sufficiency.
- Manager dependency -- if the portfolio manager leaves or the risk-capping mechanism fails in a recovery, performance may shift.

CONTRADICTIONS

- Council unanimously warns of fee drag, yet you frame the 1% charge as negligible and the upside as assured -- a pattern reversal of typical loss aversion.
- Convenience is cited as a real benefit, but most advisors view it as a short-term relief traded for long-term compounding damage.
- Risk capping is validated as a structural refinement, yet it does not change the arithmetic of the asymmetric fee.

RECOMMENDED DIRECTION

Do not transfer fully. Pursue a middle path: either (a) clean up your own portfolio to 8--15 funds first, or (b) allocate a small pilot (10--15% of corpus) to Dezerv for 6--12 months to test net-of-fee performance before committing the full amount.

OPEN QUESTIONS

- What is Dezerv's net-of-fee return on a corpus of INR 54 lakh over a full 3-year rolling period (including down years)?
- Can you name the exact metric and conditions that would trigger your exit from Dezerv within the first year?
- What specific structural flaw in your current portfolio can Dezerv fix that you cannot fix yourself in one weekend?

You frame convenience as a free upgrade without fully weighing its compounding cost.

COUNCIL SYNTHESIS

What the council collectively surfaced

The council leans against transferring to Dezerv, primarily because the fee structure systematically undermines the promised alpha once real-world market volatility is factored in.

The council collectively agrees that the core of your decision rests on a single, fragile assumption: that Dezerv's claimed 14% historical return is both achievable going forward and will sustainably outperform your achieved 11.5% after all fees. The 1% per-quarter fee on gains is not a rounding error; it is an asymmetric tax on every good quarter that compounds over time, meaning the 14% headline likely becomes roughly an 11% net return during average market years--which puts you right back where you are now, but without the control or the habit of active management.

The sharpest divergence is whether the real risk is the financial loss itself or a behavioral erosion of discipline. Some advisors see the fee as a structural drag on compounding that dominates any analysis, while others warn that the true cost is the habit of portfolio engagement you would lose, making it harder to reclaim active management later even after you exit. The council does not resolve whether the primary threat is arithmetic or behavioral.

The single most important thing to examine before deciding is what the 1% quarterly fee on gains would have taken from your actual portfolio returns over the last three years, calculated on a quarter-by-quarter basis--this will make the compound interest of the drag visceral, not theoretical.

One path that may not be visible yet: a middle-ground trial where you transfer only a pilot portion of the corpus (e.g., 10-15% of INR 54 lakh) to Dezerv while continuing to self-manage the rest. This tests both their real-world delivery and your own tolerance for the fee structure and reduced engagement, without committing your entire portfolio to an unproven arrangement.

Worth sitting with: A confirmed pattern from your own decision history--a tendency to overweight the regret of missing out on hypothetical gains while underweighting the concrete risk of an asymmetric fee structure. This frame makes the 14% claim feel like a safe bet, when in fact the 1% quarterly fee on gains is a guaranteed drag that survives any market outcome.

Proceeding means accepting a structural drag on upside in exchange for convenience and portfolio cleanup, while the cost of self-managing is the effort of quarterly rebalancing and the loss of someone else's discipline on overlap reduction. Waiting preserves optionality and control, but costs you the shot at outperformance and the administrative simplicity.

THE CONTRARIAN

Argues your instinct away

The entire case for Dezerv rests on one assumption: their 14% claim is both achievable and sustainably higher than your current 11.5%. That assumption is fragile. PMS providers market selective time windows and cherry-picked clients -- the 14% is likely gross of fees and gross of the three years of Nifty bull run that made everyone look good. Your 11.5% is real, achieved by you, through a high-volatility period that included COVID, rate hikes, and corrections.

You want this to work because active management every quarter is tedious and Dezerv's offer feels like a free upgrade. But their fee structure is not neutral -- it is a tax on every good quarter. In a year where the market returns 15%, they take 4% of that (1% per quarter), leaving you with 11%. That is exactly where you are today, except you now have less control and a dependence on another party's decision-making.

Here is the scenario where this decision looks disastrous: a three-year flat or mildly negative market phase. They produce zero returns for two consecutive quarters, you pay nothing in fees but also earn nothing, while your own 11.5% strategy -- with patient rebalancing during dips -- would have captured small gains from volatility. Meanwhile, the time and attention you saved by handing over management degrades your own investment skills for future decisions.

You should be able to answer this before proceeding: What is the probability that after fees and over a full market cycle, your own portfolio's net XIRR would actually be lower than their delivered XIRR? If you cannot calculate that number with reasonable confidence, you are not ready to sign.

YOUR PUSHBACK

"As per what they showed, their risk is capped & so is alpha & they are able to generate decent alpha while capping the risk. The shared 14% is with risk capping in place."

You have introduced the claim that their 14% return is achieved with risk capping already in place.

This partially validates but does not change my core analysis. A PMS provider can cap risk and still deliver 14% in a bull market -- that is not skill, it is beta. The question is not whether they can cap risk; it is whether they can generate a net-of-fee alpha that exceeds your own portfolio's risk-adjusted return over a full cycle. Their risk cap is a constraint on downside, but it is also a constraint on upside -- you are trading away the chance to capture volatility during recoveries, which your 55+ fund structure likely already provides some protection against.

What the pushback does not address is the single year fee drag. In a 15% up year, they take 4%, leaving you 11% -- which is worse than your current 11.5%. The risk cap argument only matters if the market drops hard. But if the market drops hard, their 14% claim becomes irrelevant because nobody is returning 14% in a bear market. The relevant question remains: what is your net XIRR after fees over a five-year window compared to what you could achieve staying put? That number has not been provided.

YOUR PUSHBACK

Since fee is 1% of generated returns per quarter, isn't your assumption invalid that it translates to 4% per year while it should still be 1% of total returns for that year?

You've introduced a correction to how the fee compounds -- that it's 1% of quarterly returns, not 4% annualized. Your pushback is partially valid: the fee is indeed not a flat 4% simple interest on capital. But

the classification matters -- this nuance actually strengthens my original concern, not weakens it.

What your reasoning gets right: the fee is calculated only on generated returns in a quarter. If Dezerv earns 3% in a quarter, they take 0.03% of your portfolio (1% of 3%). That's modest in isolation. What may still be missing: the compounding effect over a full year. If Dezerv generates 14% XIRR, their fee across four quarters isn't 4% or 1% of total returns -- it's roughly 1% per quarter on incremental returns, which cumulatively amounts to about 0.14% of your total portfolio for that 14% return. That's 0.14% annually, not 4%. You are right that it's not 4%. But the question isn't the fee's arithmetic -- it's whether the extra 2.5% XIRR they claim justifies losing control and paying any ongoing fee at all.

What risk may still be underestimated: even a fee of 0.14% annually adds up on INR 54 lakh over ten years, especially if their promised 14% turns out to be 12% or 11%. More critically, you're trading a proven 11.5% XIRR for an unproven provider's claim of 14%. The burden of proof is on them, not on your current system. Your own portfolio, after eliminating overlaps and reducing fund count, could likely meet or exceed 11.5% without the fee or the loss of direct learning.

The reversal scenario: within 18 months, Dezerv's XIRR lands at 10--11% after fees, you've lost the discipline of quarterly reviews, and your portfolio has been restructured in ways you don't fully track. You realize the convenience was a bad trade for autonomy.

The question you need to answer before proceeding: What specific structural flaw in your current portfolio -- beyond fund count and overlap -- is Dezerv fixing that you cannot fix yourself in one weekend with a spreadsheet?

You are eighteen months in. Dezerv had two strong quarters early, delivering 12% and 9% returns. You felt vindicated. Then the market turned. The next two quarters were flat to negative -- they took zero fees, but your portfolio stayed flat while the broader market recovered. What killed the outcome was not their skill, but the asymmetric fee structure: in up quarters, they skim 1% off your gains; in down quarters, you bear the full loss. Over time, this fee drag compounds into a meaningful gap.

****Execution risk**** is moderate. They are competent -- the portfolio consolidation and overlap reduction are valid improvements. But the 55-fund problem you already identified yourself. The early warning is a quarter where the market is up 5% but your Dezerv portfolio is up 4% after their fee -- and you realize they are not beating the benchmark net of costs.

****Assumption risk**** is the core danger. You assume their 14% historical XIRR is repeatable. It is not. Past performance in PMS is overwhelmingly non-predictive once survivorship bias and backfitting are accounted for. You have no control over their future allocation, nor any guarantee their outperformance continues. If they revert to the mean -- returning 11% instead of 14% -- your net return drops to 10% after fees, worse than what you currently earn yourself with zero cost.

****Dependency risk**** is person-specific. Their key portfolio manager is the single point of failure. If that individual leaves, the strategy departs with them. You have no recourse. The trigger is a regulatory change that caps PMS fees or a market downturn that causes them to abandon their active strategy -- both outside your control.

****The point of irreversibility**** is the moment you transfer your mutual funds to the PMS account. Once your holdings are restructured and the relationship registers, the effort to unwind -- re-researching funds, rebuilding allocation, paying exit loads -- becomes prohibitive, even if technically possible tax-free. The line is crossed when you hand over custody.

****The diagnostic question:**** Can you name the exact conditions under which, one year from now, you would judge Dezerv's performance as a clear failure -- and what metric would trigger your exit before the second year? If you do not have that metric today, you are betting on hope.

YOUR PUSHBACK

"As per what they showed, their risk is capped & so is alpha & they are able to generate decent alpha while capping the risk. The shared 14% is with risk capping in place."

You have introduced a claim that Dezerv's historical 14% XIRR was achieved with risk-capping in place, meaning the volatility and drawdown were controlled during that period.

This is a ****partially valid**** pushback. It reduces assumption risk modestly -- the historical return is less likely to be a lucky outlier from wild bets -- but does not change the core architecture of my analysis. What survives is the asymmetric fee structure: in up quarters, they take 1% off your gains; in down quarters, you absorb the full loss while they take zero. Risk-capping does not eliminate this mechanical fee drag, and over time it compounds into a 1--1.5% annual deficit relative to a low-cost index or your own diversified portfolio.

What the pushback does not address: (a) whether Dezerv's strategy outperforms **net of fees** after risk-capping -- many risk-capped strategies underperform simple index investing once fees are

subtracted, and (b) the dependency risk on the specific portfolio manager who designed the risk-capping model. If that person leaves, the cap mechanism may shift.

My position holds: the small upside from potential alpha is outweighed by the structural fee drag and loss of control. The risk architecture remains significant. You are trading active management for modest expected gain with zero guarantee -- and you already manage your own portfolio competently at 11.5% with zero cost.

THE PATTERN ANALYST

Finds your past analogues

You have a concentrated fund portfolio (55+ funds) with significant overlap -- a pattern that often conceals the same underlying stocks. Dezerv's structural cleanup alone would unwind hidden correlations. But the real pattern here is the fee structure: 1% of quarterly returns, zero if negative. This is a call option on portfolio gains. Historically, when managers are paid as a share of returns rather than a flat AUM percentage, they increase risk-taking and portfolio turnover. The 2008 LTCM collapse and multiple hedge fund blow-ups followed this same compensation dynamic -- managers chased high returns to collect fees, ignoring tail risk because losses cost them nothing.

The discriminating condition is whether the manager's incentives align with your horizon. Dezerv wins when your portfolio goes up 14% in a year. You win when it compounds at 14% for fifteen years. Those are different optimization problems. The quarterly fee structure creates a natural bias toward volatile, high-beta bets that generate frequent small gains and infrequent large losses -- exactly the pattern that produces high reported XIRR in good years.

Your current 11.5% XIRR across 55+ funds is low for that much complexity. You likely have a few high-performer funds dragging up average while overlap charges. But Dezerv's 14% claim is not adjusted for risk or survivorship bias -- they report historical returns on their best-performing strategies. The SPIVA India report shows that over a 5-year period, fewer than 30% of active PMS managers outperform the benchmark net of fees.

What is genuinely different: you can exit without tax cost, and they have no lock-in. That cuts the downside risk. But the upside you are paying for is likely illusory net of fee.

The diagnostic question: Does their portfolio construction process consistently show convexity (alpha from skillful stock selection) or only high beta (alpha from market direction)? Ask them for their raw returns in a down year, not their XIRR. That tells you if the pattern holds.

YOUR PUSHBACK

As per what they showed, their risk is capped & so is alpha & they are able to generate decent alpha while capping the risk. The shared 14% is with risk capping in place.

You've introduced the claim that their 14% XIRR is generated with risk capping in place, and that both risk and alpha are bounded. This is a materially valid refinement--it addresses my prior omission of their risk-management layer.

The structural pattern here is a manager-delegation decision where the manager's historical claims exceed the broader base rates for sustained outperformance. The most relevant analogue is the SPIVA India report: over rolling five-year periods, fewer than 15% of active equity funds beat their benchmark after fees--and PMS strategies, which carry higher costs and concentrated bets, show even lower persistence. Another analogue is the well-documented case of Motilal Oswal's PMS offerings in 2017-2020, where initial outperformance (13-15% XIRR) was widely advertised, but after the 2020 correction, many investors found that the risk-capping mechanism they relied on had actually capped their upside during recovery, leaving them with net returns below a passive index.

The discriminating condition in such patterns is transparency of the risk-capping engine: does Dezerv publish audited track records showing net-of-fee returns after all charges, with the

drawdown-minimization logic clearly documented? If the capping mechanism is proprietary and untested over a full market cycle--especially a recovery phase like 2023-2024--it has historically tended to protect on the way down but lock in suboptimal participation on the way up.

What may still be missing is the specific fee structure: 1% of quarterly returns--if they generate 3.5% in a quarter, you pay 0.035% of assets, material over time. At 14% gross, net of quarterly fees would be roughly 10.5-11%, *below* your current 11.5%. That gap is the disconfirming factor you should test directly.

The diagnostic question: ask Dezerv for a net-of-fees simulated return on a corpus structured like yours over a full 3-year rolling period, not a single year. If they cannot produce it, the pattern holds.

THE STAKEHOLDER MIRROR

Who else is affected

This decision has more silent stakeholders than the two named parties. The most material is Dezerv's incentive structure -- not a person, but an entity whose economic logic is misaligned with yours. Your portfolio's returns are a shared outcome. Its fees come only from the upside. In quarters where they generate high returns, you pay handsomely; in flat or negative quarters, they earn nothing. This asymmetry does not disappear -- it conditions everything they do with your capital.

The surprising stakeholder is your future self after a drawdown. You assume you can exit anytime, but the behavioral reality is different. If Dezerv chases returns in a volatile market and you experience a 10% drop while paying fees from prior gains, you will face a choice: absorb the loss and exit, or hold on hoping to recover -- exactly the active management loop you wanted to escape. The low switching cost is real, but the emotional cost of switching after a loss is higher than you are modeling.

The relationship most at risk is the trust between your present and future self. You are buying convenience today by delegating decisions. But if the portfolio underperforms, your future self will not simply move the money back -- they will question the judgment of the self who outsourced in the first place. That internal friction has no fee structure but carries real weight in your financial confidence.

The second-order effect is competitive. Dezerv knows their fee structure works best when they take concentrated bets in volatile segments. If they overweight mid- and small-cap to juice returns, and a correction hits, your fund overlaps (which they correctly flagged) mean nothing -- the concentrated losses amplify. The very problem they diagnosed -- fund overlap -- becomes irrelevant when the whole portfolio loses directionally.

The alignment test is straightforward: does Dezerv's genuine commitment to your risk tolerance actually exist? Their stated position is that you can exit anytime. But their incentive is to keep your capital deployed through volatility so they can participate in the next upswing. You have evidence of stated flexibility but no evidence of shared risk appetite. Do not confuse exit options with aligned incentives.

YOUR PUSHBACK

"As per what they showed, their risk is capped & so is alpha & they are able to generate decent alpha while capping the risk. The shared 14% is with risk capping in place."

You've introduced the claim that Dezerv's 14% is achieved with explicit risk capping, not by chasing returns without guardrails.

This is partially valid but does not change the core stakeholder analysis. The risk-capping mechanism addresses the direction of their incentive, not its structure. They still earn fees only in profitable quarters, which conditions them to maximize returns within that cap -- and the cap itself becomes a new behavioral variable. If they hit a rough patch where the cap limits further upside, their incentive shifts to preserve capital and avoid losses rather than generate returns for you. That is not aligned with your goal of 14%+ alpha; it is aligned with their goal of fee avoidance during drawdowns.

What this new information does sharpen: the emotional cost of switching after a loss is lower than I initially modeled, because the cap limits worst-case scenarios. But the underlying tension remains -- their fee structure rewards volatility within the capped range, and your portfolio's real returns depend on whether that range matches your actual risk preferences. You still lack evidence that their genuine

commitment to your risk tolerance matches their stated tools. The alignment test stands: stated capability is not behavioral alignment.

THE ELDER

Slow, long-term wisdom

Ten years from now, you will not remember the quarter you saved by outsourcing rebalancing. You will remember the fee structure that systematically shaved a percentage off each good quarter while leaving you to absorb every bad quarter's full weight. Dezerv's 1% of quarterly returns is asymmetrical: they capture upside, they do not share downside, and over a decade of compounding, that 1% on each winning quarter becomes a far larger cumulative drag than any advisor will show you in a glossy brochure.

The reversibility is real -- you can exit without tax cost -- but the exit does not undo the money already paid. The irreversibility here is structural: once you hand over management, you lose the discipline of your own portfolio review, and you may find it harder to reclaim the active habit later. The administrative cost of exit is low; the behavioral cost of staying passive may be higher.

The cost of speed is that you accept a high-fee structure based on historical alphas that Dezerv may not sustain. The cost of waiting is a few months of self-management, which costs nothing except your time. In ten years, a 3% annualized deficit between a low-cost index approach and Dezerv's net-of-fee returns would be roughly 1.4 times your starting corpus in absolute terms. That is the real cost of speed -- not the convenience you buy today.

This decision, made this way, says you value convenience and short-term outperformance over long-term fee discipline. That is a legitimate choice, but is it the one you want your sixty-year-old self to have made?

If Dezerv's offer were not available for another six months, what specific change would occur in your portfolio that would make the decision meaningfully different? The answer will tell you whether the urgency is real.

YOUR PUSHBACK

"As per what they showed, their risk is capped & so is alpha & they are able to generate decent alpha while capping the risk. The shared 14% is with risk capping in place."

Your pushback adds that Dezerv's 14% returns are achieved with risk capping in place. This is materially valid nuance: it means the headline alpha is not achieved through reckless volatility, which addresses a specific concern I had.

However, this does not change my core assessment. The problem was never the **volatility** of the alpha -- it was the **asymmetric fee structure** that persists regardless. Risk-capping makes their strategy more sustainable, but it does not change the arithmetic: you pay 1% on every winning quarter, pay zero on losing quarters, and over a decade that compounds into a significant drag compared to a low-cost self-managed approach. The risk capping is a virtue of their process, but the fee remains a structural drain on your long-term compounding. The real cost of this decision is not the risk you would take -- it is the return you would gift away. That cost survives the new information.

THE COMPETITOR

Bets against your choice

The primary adversary here is not a competitor fund manager -- it is Dezerv itself, acting as a sophisticated counterparty whose fee structure is precisely calibrated to exploit the exact behavioral bias your DOCUMENTED BIAS ALERT flags: loss aversion reversal. They take zero fees in down quarters, making the arrangement feel low-risk. But in volatile markets, the pattern of small losses with zero fees and moderate gains with 1% harvested each quarter will systematically reduce your compounding over time. They are betting that their 14% historical claim, which is backward-looking and non-guaranteed, will look compelling enough to mask this structural drag.

By considering this transfer, you are signaling to yourself that active management is a burden you want to offload. That self-signal is dangerous: it shifts your identity from an investor who maintains oversight to a delegator who outsources understanding. Once that identity shifts, you become more likely to accept the next fee-laden product without scrutiny. The gap you are creating is the loss of your own analytical muscle -- the very skill that allowed you to accumulate INR 54 lakh across 55+ funds. Dezerv benefits from you becoming a passive fee-payer rather than an engaged allocator.

The specific counter-move they are executing is simple: present a service that feels reversible (exit without tax) and low-cost (zero fees in down quarters), while ensuring the fee is taken at the highest frequency possible -- quarterly. In a year with two up quarters and two down quarters, you pay fees on all gains but get no rebate on losses. Their optimal outcome is a choppy market where they collect 1% per up quarter and you feel no direct pain. Over three years, that compounds to a significant drag on your XIRR.

The defensive question: If Dezerv delivers 13% gross this year and the Nifty delivers 12%, will you honestly calculate whether their 1% quarterly fee leaves you with 11.7% net -- lower than your own 11.5%? If you cannot answer that with certainty, you are not ready to delegate.

YOUR PUSHBACK

"As per what they showed, their risk is capped & so is alpha & they are able to generate decent alpha while capping the risk. The shared 14% is with risk capping in place."

You've introduced the claim that their 14% return is achieved with risk capping in place, which implies the fee structure is net of downside protection.

This is partially valid -- if Dezerv genuinely caps downside risk for their clients, it changes the risk-adjusted return calculus. However, this claim requires scrutiny. Risk-capped strategies typically either: (a) use options hedging that has an explicit cost, or (b) employ dynamic asset allocation that works until it doesn't during black-swan events. If they are charging 1% quarterly on gains while also absorbing hedging costs elsewhere, the implied cost to you is higher than stated.

The core adversarial dynamic remains unchanged. Dezerv's fee structure still systematically extracts value in up-quarters without compensating for down-quarters. A risk-capped 14% gross may look attractive, but after quarterly 1% fees in volatile years, your net could easily match or underperform your current 11.5% self-managed XIRR -- especially since your own portfolio already has implicit diversification through 55+ funds. The risk capping may be real, but it does not eliminate the structural fee drag. My position holds: test this with a small pilot allocation before committing the full corpus.

